

FINANCIAL PERFORMANCE REVIEW

Titan Company Limited

Standalone Financial Statement Analysis / FY2022-23 to FY2024-25

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1. Project Overview

This report presents a financial performance review of Titan Company Limited, prepared using the company's own published Annual Reports for the three financial years ended 31st March 2023, 2024 and 2025. It is written from the perspective of a Junior Finance Analyst preparing a concise, factual briefing for management.

The analysis is deliberately kept practical rather than technical: it covers the Income Statement, Balance Sheet and Cash Flow Statement, calculates ten commonly used financial ratios, identifies three-year trends, and closes with business observations, key strengths, potential risks and an overall conclusion. All figures are drawn from Titan's standalone (not consolidated) financial statements and are stated in ₹ crore unless otherwise noted.

This is an educational / portfolio exercise and should not be read as investment advice or as a complete equity research report.

2. Company Overview

Titan Company Limited is an Indian consumer products company, majority owned by the Tata Group, best known for its jewellery, watches and eyewear businesses. Its principal brands include Tanishq (jewellery), Titan and Fastrack (watches), Titan Eye+ (eyewear), and CaratLane (digital-first jewellery). Jewellery is by far the largest contributor to revenue.

Titan operates a large omni-channel retail network of company-owned and franchisee stores across India, supplemented by a growing online presence. Because jewellery is its dominant segment, Titan's revenue, inventory and working capital are all closely linked to gold prices and consumer demand around the Indian wedding and festive seasons.

3. Financial Performance

3.1 Income Statement Summary (Standalone, ₹ crore)

Particulars	FY2023	FY2024	FY2025
Revenue from Operations	38,270	47,114	54,842
Total Income	38,569	47,624	55,335
Total Expenses	34,104	43,017	50,854
Profit Before Tax	4,465	4,607	4,481
Profit for the Year (PAT)	3,333	3,544	3,335
Basic EPS (₹)	37.54	39.94	37.60

Revenue grew strongly across the three years, from ₹38,270 crore in FY2023 to ₹54,842 crore in FY2025 — a compound annual growth rate of roughly 19.8%. However, profit for the year grew only marginally over the same period and actually declined in FY2025 compared with FY2024, despite revenue reaching a record high. This gap between revenue growth and profit growth is the single most important theme in this report and is explored further in the sections on ratios and observations below.

3.2 Balance Sheet Summary (Standalone, ₹ crore)

Particulars	FY2023	FY2024	FY2025
Total Assets	25,088	32,862	41,075
of which: Inventories	14,952	16,874	24,517
Total Equity	11,994	14,457	16,811
Total Borrowings (NC + Current)	1,190	5,809	7,903
Gold on Loan	5,090	4,938	7,043
Total Liabilities	13,094	18,405	24,264

The balance sheet has grown substantially, with total assets up ~64% over three years — driven almost entirely by a build-up of inventory (gold and finished jewellery stock). This growth has been funded by a mix of retained profits (equity) and a marked increase in short-term borrowings and gold-on-loan financing.

3.3 Cash Flow Summary (Standalone, ₹ crore)

Particulars	FY2023	FY2024	FY2025
Net Cash from Operating Activities	1,810	2,030	(170)
Net Cash from Investing Activities	(1,653)	(4,634)	140
Net Cash from Financing Activities	(155)	2,757	1
Closing Cash & Cash Equivalents	119	272	243

Operating cash flow weakened materially and turned negative in FY2025, even though reported profit remained strong. This was driven by a sharp increase in inventories during the year, which absorbed far more cash than the business generated internally — a pattern worth flagging to management for close monitoring going into FY2026.

4. Ratio Analysis

The table below summarises ten key ratios calculated from Titan's standalone financial statements, using year-end (closing) balances for simplicity — a reasonable and common approach for entry-level analysis.

Ratio	FY2023	FY2024	FY2025	Trend
Revenue Growth %	-	23.1%	16.4%	Slowing but strong
Net Profit Growth %	-	6.3%	(5.9%)	Declining
Gross Profit Margin %	24.1%	21.6%	20.2%	Declining
Net Profit Margin %	8.7%	7.5%	6.1%	Declining
Current Ratio	1.80x	1.70x	1.41x	Weakening
Debt to Equity Ratio	0.10x	0.40x	0.47x	Rising
Return on Equity %	27.8%	24.5%	19.8%	Declining

Ratio	FY2023	FY2024	FY2025	Trend
Return on Capital Employed %	34.7%	26.1%	27.0%	Dipped, stabilising
Asset Turnover Ratio	1.53x	1.43x	1.34x	Declining
Interest Coverage Ratio	19.6x	10.6x	6.8x	Declining but safe

Taken together, these ratios tell a consistent story: Titan's top line continues to grow strongly, but almost every measure of margin, efficiency and balance-sheet strength has moved in the wrong direction over the three-year period — from a genuinely excellent starting point in FY2023. None of the ratios are at alarming levels; interest coverage of 6.8x and a current ratio of 1.41x are both still healthy. The trend, however, deserves management attention.

5. Key Strengths

- **Strong, consistent revenue growth:** Revenue nearly doubled over three years (a ~19.8% CAGR), reflecting continued store expansion and robust consumer demand for jewellery and watches.
- **Low reliance on debt relative to equity:** Even after a sharp rise, the Debt-to-Equity ratio of 0.47x remains conservative by industry standards.
- **Comfortable interest coverage:** At 6.8x, Titan can still comfortably cover its interest obligations from operating profit, even after finance costs more than tripled.
- **Self-funded equity growth:** Equity has grown entirely through retained profits with no fresh share issuance, showing the core business is genuinely cash-generative over the longer term.
- **Low receivables risk:** Trade receivables have stayed broadly stable relative to revenue, reflecting Titan's largely cash-and-card retail business model.

6. Potential Risks

- **Margin compression:** Gross margin has fallen from 24.1% to 20.2% and net margin from 8.7% to 6.1% over three years, driven by rising gold costs and a changing product mix.
- **Weak FY2025 operating cash flow:** Operating cash flow turned negative in FY2025 due to a large inventory build-up — a pattern that needs to reverse in FY2026 to avoid further reliance on short-term borrowing.
- **Rising short-term debt:** Current borrowings and gold on loan together have grown substantially, increasing Titan's exposure to interest rate movements and refinancing risk.
- **Gold price sensitivity:** As a predominantly jewellery business, Titan's revenue, inventory value and margins are all closely tied to gold price movements, which are outside management's control.
- **Declining asset efficiency:** Asset turnover has fallen from 1.53x to 1.34x, showing that assets (mainly inventory) are growing faster than the sales they generate.

7. Business Insights

The overall picture is of a fundamentally strong, fast-growing consumer business that is currently working through a period of margin and cash-flow pressure rather than facing any structural weakness. Titan is not losing customers or market share — quite the opposite, revenue growth remains well ahead of most retail peers. The pressure is coming from the cost side (higher gold prices, higher finance costs) and from the balance sheet (a large, necessary inventory build-up to support growth).

A useful way to frame this for management is: Titan is investing heavily in inventory and store expansion today, funded increasingly by short-term borrowing, in order to sustain the revenue growth seen over the past three years. The key question for FY2026 is whether operating cash flow recovers as this inventory is sold through, and whether margins stabilise as gold price volatility eases.

8. Overall Conclusion

Titan Company Limited delivered strong, consistent revenue growth over FY2023–FY2025, nearly doubling standalone revenue to ₹54,842 crore. However, profitability, cash generation and several efficiency ratios weakened over the same period, and FY2025 in particular saw profit decline slightly and operating cash flow turn negative, despite record revenue.

None of the individual ratios reviewed in this report are at a level that would be considered high-risk — the balance sheet remains conservative and interest costs remain well covered. The consistent direction of the trend, however, across margins, cash flow, and leverage, is worth flagging clearly to management as an area to monitor closely in the coming year, particularly the recovery (or otherwise) of operating cash flow in FY2026.

This concludes the financial performance review for Titan Company Limited for FY2023–FY2025.